

Australian national accounts, December quarter 2025

#gdp

#australia

#employment

#housing

#rba

By [Pat Bustamante](#), [Matthew Hassan](#), [Mantas Vanagas](#), [Justin Smirk](#), [Sian Fenner](#), [Neha Sharma](#), [Luci Ellis](#) & [Ryan Wells](#)

16:56 March 04 2026

 Share

Q4 GDP: 0.8%qtr, 2.6%yr. Q4 Domestic Demand: 0.5%qtr, 2.9%yr. Productivity: Total 1.0%yr, Market Sector 1.5%yr.



Click here for the full report  **'Australian national accounts, December quarter 2025'** (PDF 1MB)

- The Australian economy grew by 0.8%qtr in the December quarter. This increase and revisions to previous quarters left year-ended growth at 2.6% – the strongest since the March quarter 2023.
- The Q4 national accounts reinforce the view that the economy is now in the upswing phase of the cycle, with momentum clearly accelerating in the second half of 2025. But there are caveats: consumer spending surprisingly slowed in Q4, even as overall domestic demand strengthened.
- As we predicted, the supply side of the economy is normalising with productivity growing 1.0%yr across the economy and 1.5%yr in the market sector. This has helped slow growth in the economy's cost base, with growth in unit labour cost easing to below 4%yr for the first time since the pandemic.
- Whether this improvement can be sustained remains uncertain. A further acceleration in demand and a retightening in labour market conditions could see wages growth and hours worked reaccelerate, placing renewed upward pressure on costs and risking a reversal of recent progress. This is not yet in evidence, though, and domestic inflation pressures could subside quickly if demand instead slows.

Related articles

#gdp

The Australian economy finished 2025 on a strong note

March 05 2026 • ⌚ 3 mins

By Pat Bustamante



#gdp

Q4 GDP First Impressions: consumers underwhelm and supply surprises positively

March 04 2026 • ⌚ 5 mins

By Pat Bustamante



#gdp

Australian GDP Q4 Preview: Trend growth restored, inflation risks remain

February 27 2026 • ⌚ 6 mins

By Pat Bustamante

Browse topics

#aud

#interestrates

#usd

#nzd

#australia

#newzealand

#rates

#credit

#acgb

#commodities

#rba

#jpy

#inflation

#yieldcurve

#abs

#ustreasury

#eur

#fx

#ois

#semigovernment

Show more tags